

# How Commission Cost and Other Cost are Updated When an Order is Invoiced

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## Issue

How commission cost and other cost are updated when an order is invoiced

## Error

N/A

## Resolution

The following are the rules as to how Commission cost and Other Cost are calculated at the time of invoicing. The other cost and commission cost on the order may differ from the other and commission cost on the invoice due to these rules.

The Commission and Other Costs that appear on the order costs tab are not updated by invoicing and thus remain at their original value at the time the order was entered. The updated / recalculated Commission Cost and other cost will be reflected in Sales History report and in the general ledger.

1. If the Commission Cost and/or Other Cost is manually edited, we do not re-compute it. P21 sets the invoice\_line value equal to the order\_line value.

Example:

An item is entered as a new item on the fly in the order entry window.

The current commission cost for the item shows as \$0.

The order taker manually edits the commission cost to \$20 in the costs tab of the order entry window.

Commission cost is set to source from a field in item maintenance and after the order is saved the pricing manager does a pricing update making the source field for commission cost in item maintenance to \$22.

When the order ships, commission cost will \$20 because manually edited costs in order entry override the

default settings for the fields, the cost is not recalculated. If no manual edit had been done, then it would have invoiced with \$22 as the commission cost.

2. If the Commission Cost and/or Other Cost did not come from a Pricing Page (meaning it is based on System Settings/Order processing/Cost Sources), and it is not edited, then we re-compute it based on the system setting and set invoice\_line accordingly

3. If the Commission Cost and/or Other Cost comes from a Pricing Page, and is set to a specific value by the Pricing Page, then we do not re-compute at invoicing time and we set the invoice\_line value equal to the order\_line value

4. If the Commission Cost and/or Other Cost comes from a Pricing Page and the Pricing Page points them to Order Cost, then we re-compute at invoicing time. At re-compute time, if pricing page value results in 0 then application will look to cost source in system settings.

5. If the Commission Cost and/or Other Cost comes from a Pricing Page and the Pricing Page points to a Source Price (Price 1 - Price 10, Standard Cost, Moving Average Cost, etc. ) then we re-compute based on the Pricing Page and set invoice\_line accordingly. At re-compute time, if pricing page value results in 0 then application will look to cost source in system settings.

6. Other Cost only - If Other Cost comes from a Pricing Page that points to NONE, or comes from the system setting and the system setting value is NONE, and has not been edited, then Other Cost should be 0 on both order\_line and invoice\_line

7. If there was freight associated with the invoice and options to increase / reduce commission cost by freight are set then commission cost is recalculated for the invoice.

8. If using this Last Margin Pricing (Setting found in Customer maintenance > Sales Pricing Tab > setting for Set Order Price based on Gross Profit % of Last Invoice for Customer), the other and commission costs are not recalculated when you generate an invoice.

## Notes

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Note for Direct Ships:

There is a hidden system setting 'direct\_attempt\_use\_po\_cost' that impacts what is used for commission cost on direct ship order lines:

-If this is 'Y' then purchase price from the linked PO will be used for commission cost

-If this is 'N' then the system uses the rules noted above. But note at time of invoicing IF commission cost calculates to \$0, then the system will use purchase price from the linked PO for commission cost.

Knowledge Base articles that may be related to your questions:

KB0018778 When order cost on the cost tab in order entry gets updated.

KB0017615 How is the order cost on the cost tab in order entry determined?

KB0017817 Source of the commission cost and other cost on an order?

KB0018766 How did Commission Cost change from Order to Invoice?

KB0018791 Understanding how Freight can / cannot affect commission cost

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